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ECONOMIC SURVEYS BY THE OECD

NORWAY

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JUNE 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

NORWAY

BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	324
Arable area (1,000 sq.km.)	10
Productive forest	70
Maior cities (January 1963):	
Oslo	482,500
Bergen	116.600

THE PEOPLE

Population (Dec. 1963)	3.631,000
No. of inhabitants per sq.km.	11
Net natural increase annual rate (average 1959-63)	28.840
— per 1,000 inhabitants (average 1959-63)	8.0
Labour force total 1962	1.518.000
of which, in agriculture, forestry and fishing	315,000
Net annual migration (average 1959-63)	— 976

PRODUCTION

Gross National Product in 1963 (millions of Kr.)	44,900
G.N.P. per head (U.S. $)	1.710
Gross fixed capital formation (1963):	
— percentage of the G.N.P.	36
— per head U.S. $	616

THE GOVERNMENT

Public consumption in 1963 (percentage of G.N.P.)	13
General government current revenue in 1963 (percentage of G.N.P.)	32
Public gross fixed capital formation in 1963 (percentage of G.N.P.)	11
Public debt in 1962 (ratio to general goverment current revenue)	67

Composition of Parliament (No. of seats):	
— Labour party	74
— Conservative party	29
— Centre (Agrarian) party	16
— Liberal Party	14
— Christian Democrats	15
— Left-wing Socialist party	2
	150

Last general election = 1961.
Next general election = 1965.

LIVING STANDARDS

Average hourly earnings of male industrial workers in 1963 (in kroner)	7.96
No. of passenger cars in use per 1,000 inhabitants (Dec. 1963)	100
No. of telephones per 1,000 inhabitants (1961)	213
No. of radio sets per 1,000 inhabitants (Jan. 1963)	355
No. of television sets per 1,000 inhabitants (Jan. 1963)	56

FOREIGN TRADE

EXPORTS:	
Exports of goods and services as a percentage of G.N.P. (average 1959-63)	40
Main exports in 1963 (percentage of total commodity exports):	
— Base metals and products thereof	25
— Forestry products	17
— Fish and fish products	11
— Machinery, apparatus and transport equipment (excl. ships)	8

IMPORTS:	
Imports of goods and services as a percentage of G.N.P. (average 1959-63)	44
Main imports in 1963 (percentage of total commodity imports):	
— Ships (average 1959-63)	17
— Machinery, apparatus and transport equipment (excl. ships)	21
— Raw materials (non-edible) incl. fuels and chemicals	25
— Base metals and products thereof	13

THE CURRENCY

Monetary Unit: Krone

Currency unit per U.S. $ 7.14

ECONOMIC SURVEYS BY THE OECD

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NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30 September 1961.

The members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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STATISTICAL ANNEX 25

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NORWAY

1. A striking feature of Norway's post-war economy has been the relatively large and persistent deficit on the current account of the balance of payments. The deficit has been higher in recent years than in the 1950's, and this has raised the question whether a policy entailing capital imports at this rate is an appropriate one for Norway. The strong expansion of economic activity abroad, with rising demand for Norwegian exports, points to some decline in the deficit in 1964. But the extent of this decline will partly depend on internal factors, both domestic demand and costs. The rise in exports has been accompanied by an expansion in home demand, with stronger pressure on resources.

2. Part I of the present Survey discusses the main factors underlying the balance of payments position. Part II reviews recent domestic trends and short-term prospects. Part III considers the main elements of the Government's stabilisation policies.

I. THE BALANCE OF PAYMENTS

A. Present Position

3. Table 1 summarises structure and trend of the foreign balance. The essential features are:

a) a growing current deficit, amounting in recent years to about 3 per cent of G.N.P.; large imports of ships and a deficit on other merchandise transactions have been only partly offset by net shipping earnings and other invisibles receipts;

b) a volume of capital imports normally exceeding the current deficit and contractual repayments of debt, resulting in a fairly steady, but moderate, increase in foreign exchange reserves;

c) large shipping credits, usually accounting for more than half the total volume of capital imports, the rest consisting of public and other private borrowing.

TABLE 1. BALANCE OF PAYMENTS[1]

$ *million.*

	AVERAGE 1950-54	AVERAGE 1955-59	AVERAGE 1960-63	1963	1964[2]
Trade balance, excl. ships	— 232	— 271	— 465	— 503	— 526
Net ship imports	94	211	211	247	217
Net freight earnings	251	411	477	522	546
Other current transactions	41	11	34	32	43
Current balance	— 33	— 60	— 165	— 196	— 154
Redemption of debt	— 30	— 41	— 47	— 56	— 46
Public borrowing	42	32	54	84	56
Borrowing on ships, net	15	73	98	150	77
Other known borrowing	16	32	71	60	42
Errors and omissions	3	14	11	8	25
Increase in foreign exchange holdings	13	50	23	50	

1. According to Norwegian definitions. The main differences from the O.E.C.D. definitions are that imports are registered c.i.f. and that the shipping items are shown net and separately.
2. Budget.

Source: Statistisk Maanedshefte and Revised National Budget 1964.

4. The following paragraphs describe the policy factors, structural factors, and the trends in domestic costs and world demand that have led to the development of this situation.

Policy Factors

5. Throughout the post-war period the emphasis given to investment has been a central feature of economic policy. Over most of this period gross fixed asset formation has been higher than in other Member countries. In the 1950's 30 per cent of the gross national product was devoted to investment; the average rate for European Member countries combined was about 20 per cent. The national savings rate has also been high, with gross savings in the 1950's amounting to about 27 per cent of G.N.P. It has been a deliberate policy objective to supplement domestic savings by imports of foreign capital, thereby enlarging the scope for investment. The private sector has been encouraged to seek long-term financing abroad, and the authorities have raised loans from the International Bank for Reconstruction and Development as well as in foreign capital markets. In the 1950's the capital imports thus achieved represented about 10 per cent of net fixed capital formation; in recent years the proportion has been higher (more than 20 per cent).

TABLE 2. INVESTMENT, SAVINGS AND THE BALANCE OF PAYMENTS[1]

Per cent of G.N.P.

	1952	1956	1960	1961	1962[2]	1963[2]
Total net investment	17.4	17.6	14.9	16.3	14.8	15.1
Domestic savings	17.5	17.7	12.8	12.9	11.8	12.0
External deficit	— 0.1	— 0.1	2.1	3.4	3.0	3.1

1. Norwegian definitions.
2. Preliminary figures.

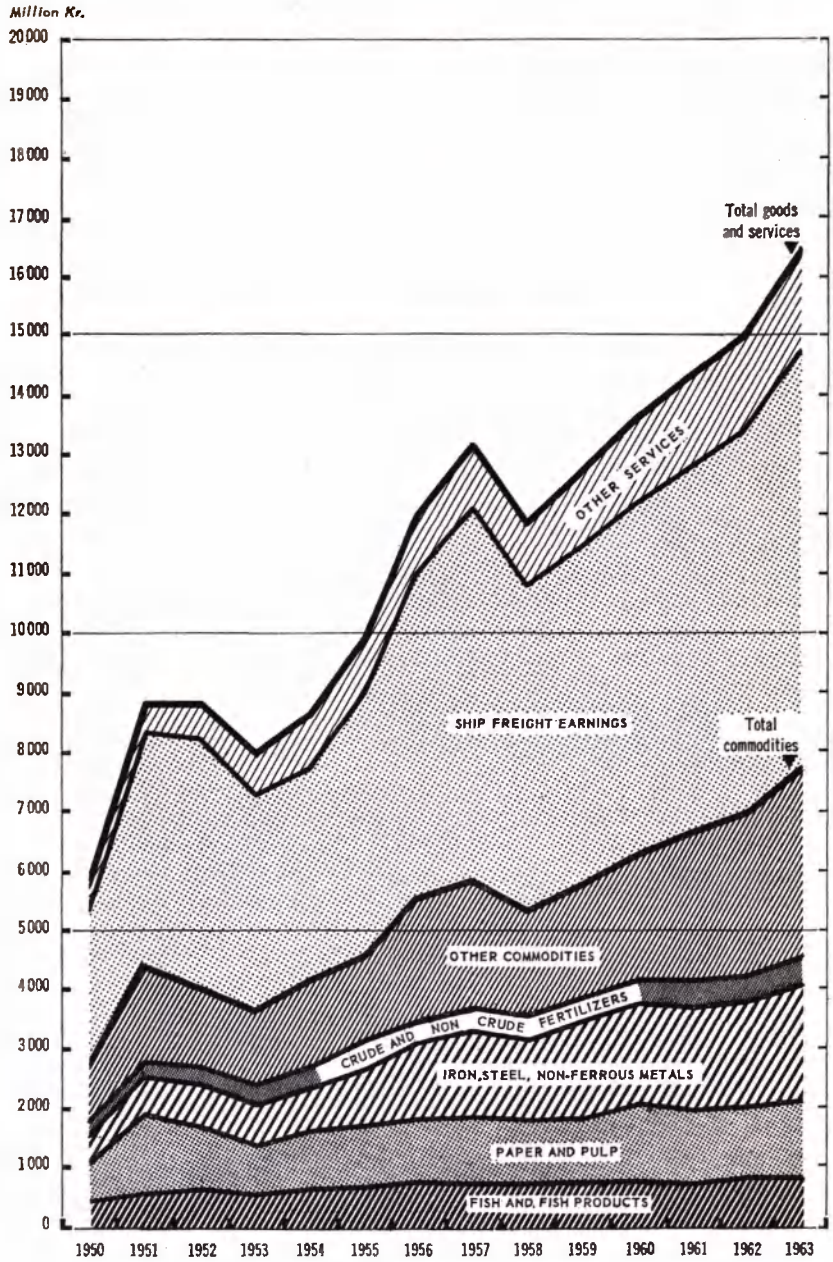
Source: Revised National Budget 1964.

Structural Factors

6. This policy of high investment and capital imports reflects, in part at least, structural factors related to the pattern of the country's natural resources and to the shipping sector. Norway's large hydro-electric power resources, and its relatively low prices of electric energy, have favoured the development of energy-intensive industries, such as electro-chemicals and various base metals, including aluminium, steel, nickel and copper. The need for their rapid development has been intensified by the fact that the expansion of some of the traditional export industries (notably whaling, fisheries and forestry) has been hampered by limitations of the basic natural resources involved. Given the capital-intensive nature of energy-intensive industries, and of the hydro-electric power production on which they are based, their development has required a high level of investment.

7. The shipping sector plays a major rôle in Norway's balance of payments; net freight earnings represent as much as 50 per cent of total commodity exports, and purchases of ships from abroad amount to about 15 per cent of total merchandise imports. The large imports of ships now taking place are closely related to the rapid technological progress in the tanker trade, and to some degree also in dry cargo. This is leading to the development of steadily increasing units which are cheaper per ton both in procurement and in operation. The transition to bigger units has been reinforced by low freight rates; at existing rates many older and smaller ships are unprofitable, but the bigger ones can make a reasonable profit. Thus, imports of ships are inflating the current deficit at the same time as low freight rates exert a depressive effect on shipping earnings. But the replacement of smaller ships by bigger ones is clearly a condition for maintaining the competitive position of the Norwegian shipping fleet and its future contribution to the country's foreign exchange earnings.

Diagram 1. NORWEGIAN EXPORT STRUCTURE, 1950-1963



Sources: Statistical Yearbooks of Norway 1950-1963, and Statistisk Maanedshefte.

Domestic Costs and Foreign Demand

8. The increase of the current deficit in the last few years can to a large extent be ascribed to a growing deficit on trade other than ships. This development does not appear to be due to a relative rise in Norwegian costs. Statistics on costs are incomplete, and inter-country comparisons are complicated by differences in coverage and weights. The existing data suggest that labour costs in manufacturing in the last three or four years have risen at about the same rate in Norway as in the United Kingdom and rather less than in some Continental countries.

9. The deterioration of the current account can to some extent be ascribed to growing imports. But the ratio of imports (excluding ships) to G.N.P. has not risen in recent years. The greater part of the deterioration has been due to supply and demand conditions in world markets for some of Norway's most important exports. Marketing conditions for many of these products have been affected by a faster growth of world supply than world demand, with a decline in prices. The fall has been particularly sharp in freight rates, but it has also affected a number of commodity exports; between 1958 and 1962 world market prices for products of major importance for Norway fell, on the average, by 12 to 14 per cent. Prices for some products recovered somewhat in 1963 as a result of stronger demand. The effect on the balance of payments of the fall in export prices has been partly offset by a decline in import prices. Taking price developments for goods and services together, the terms of trade have deteriorated; the resulting loss of income between the two four-year periods 1955-58 and 1959-62 has been estimated at about $100 million, almost 2 per cent of G.N.P.

10. On the whole, the rise in export volume has been well maintained, with total commodity exports rising at an annual rate of 9 per cent since 1960. But in some sectors there has been a decline in volume, notably in the pulp and paper industries, with a decline in the rate of capacity utilisation and an increase in stocks of export products. This trend was reversed in the fourth quarter of 1963, when stocks of export products were reduced.

11. It is probable that the decline in Norwegian export prices has been related to more fundamental changes in supply-demand conditions. It is felt in Norway that the structural change in the shipping sector towards bigger and lower-cost ships tends to lead to a decline in freight rates. The decline in other prices, notably for certain base metals, may also be of a longer-term nature, influenced by a strong increase in supply.

12. It is also likely that the change in marketing conditions

in recent years, with a decline in prices for important Norwegian exports, has been influenced by temporary factors, notably the slow growth of production in the United States and the United Kingdom. Demand conditions in the United Kingdom have a very direct impact on Norwegian exports since Britain takes about 18 per cent of Norway's commodity exports. The U.S. market is of less direct importance, but demand conditions in the United States, which weigh heavily in the world economy, have an important impact on international business conditions generally, and thus, on demand for Norwegian exports. Since both the United Kingdom and the United States aim at expanding faster in the years ahead than in the last few years, foreign demand for Norwegian exports would seem likely to strengthen.

B. Policy Considerations

13. The main question is to what extend Norwegian policy should be based on the continuation of capital imports. This raises questions concerning the needs of the domestic economy, the servicing of the foreign debt, and the possibilities of raising external finances on reasonable terms.

Domestic Investment Needs

14. There are some grounds for arguing that the need for foreign borrowing has, in fact, increased. The structural factors discussed earlier suggest that investment in shipping will remain high. And the natural resource base, notably the still very large unexploited hydro-electric power potential, points to a further expansion of energy- and capital-intensive industries. As in other countries affected by European integration, readjustment problems resulting from the removal of customs tariffs have increased the need for industrial investment; and, as elsewhere, public investment needs, notably in education and transport, are growing fast.

15. The deterioration of the terms of trade in recent years has reduced the economy's savings capacity. There is little basis for forecasting the movement of the terms of trade, but such indications as exist suggest that a substantial improvement is unlikely, mainly because of the probable development of freight rates. Effective rates will decline because of the expiration of favourable long-term contracts concluded earlier and their renegotiation at the lower freight rates now prevailing; the rapid expansion of the world shipping fleet, with a shift to big lower-cost ships, will continue to exert downward pressure on rates. While costs per ton may also decline, the net result may well be a decrease in profit rates in shipping, the major Norwegian foreign exchange earner.

16. In these circumstances, the net contribution of the shipping sector to the economy's foreign exchange earnings will probably increase more slowly during the rest of the 1960's, than in earlier years. Estimates made by Norwegian shipping experts suggest that the effect on foreign exchange earnings of the growing shipping fleet may to a large extent be offset by the decline in effective freight rates. This will clearly render the balance of payments problem more difficult.

17. On the other hand, the proposed new national pension scheme—entailing an important accumulation of capital—would, if adopted, lead to an increase in the domestic savings ratio, enlarging the scope for investment. Preliminary estimates suggest that the accumulation of funds would increase rapidly, from Kr. 450 million in 1967 to about Kr. 1,500 million per year in the first half of the 1970's.

The Foreign Debt and Its Servicing

18. Concern with the financing problems arising from the current deficit and the servicing of the foreign debt has led many observers to urge that the Government should aim at a more balanced current account position. Against this, however, it can be argued that the amounts needed for the servicing of the foreign debt are still relatively moderate, and that very special conditions prevail in the shipping sector.

19. At the end of 1962 Norway's net indebtedness to other countries amounted to about $840 million, or about 14 per cent of a year's gross national product; contractual redemption and interest payments represented about 5 per cent of G.N.P. Before the last World War these ratios were 25 per cent and 8 per cent respectively. The ratio of redemption and interest payments to total current export earnings amounted to 13 per cent in 1962, compared with 27 per cent in 1938. While pre-war conditions are not necessarily a good yardstick by which to measure the appropriate size of foreign indebtedness, both the debt itself and its servicing would seem to be moderate in relation to the economy as a whole and to present foreign exchange earnings.

20. Both the current deficit and the foreign debt are strongly related to the shipping industry. In most post-war years net imports of ships have more than accounted for the current deficit, and about two-thirds of the net foreign debt concerns shipping. But in a sense, it can be said that neither the raising of the foreign exchange needed to finance imports of ships nor the foreign exchange required for the servicing of the resulting foreign debt represent a burden on the rest of the economy, or a problem for economic policy.

**

TABLE 3. THE NORWEGIAN FOREIGN DEBT (NET)

Kr. million.

YEAR	MARITIME TRANSPORT	OTHER SECTORS	TOTAL FOREIGN DEBT (NET)
1956	1,005	1,322	2,327
1957	918	1,001	1,919
1958	1,749	910	2,659
1959	2,504	681	3,185
1960	2,474	957	3,431
1961	3,006	1,714	4,720
1962	3,871	2,155	6,026

Source: Norwegian submission to O.E.C.D.

21. Most of the capital needed to finance imports of ships is raised abroad by the shipping sector itself. For tankers the shipowners are under the obligation, according to existing exchange regulations, to obtain foreign financing of the total capital involved for a period of at least five years; tankers account for the greater part of new investment in ships. For other ships, the shipowners are under no such obligation, but because of the small domestic capital market a large proportion of the finance required is normally raised abroad. In present conditions, given the strong competition between foreign shipyards and the credit conditions offered, the proportion of the capital thus secured is very high. In these circumstances the current deficit is not a very good measure of the financing problems to which the deficit gives rise. A better measure is provided by borrowing needs (current deficit plus contractual debt repayments) less shipping credits. On average in recent year this "uncovered" deficit has amounted to about $100 million, about half the borrowing needs referred to above.

22. The foreign exchange needed to cover redemption and interest payments related to shipping loans raised abroad—the major part of the foreign debt — is to a large extent already secured when the foreign debt is incurred, because most of the ships currently delivered to Norwegian shipowners are entering long-term foreign contracts which secure the entire amortisation of the ship over about 8 to 10 years. In these circumstances, with the rise in the foreign debt of the shipping sector so directly related to a strengthening of the foreign balance, the increase in debt servicing obligations should not be a matter of concern. The remaining part of the foreign debt is relatively small.

23. The preceding discussion suggests that domestic investment requirements point to the maintenance of a policy based on a certain amount of capital imports. It might be argued that

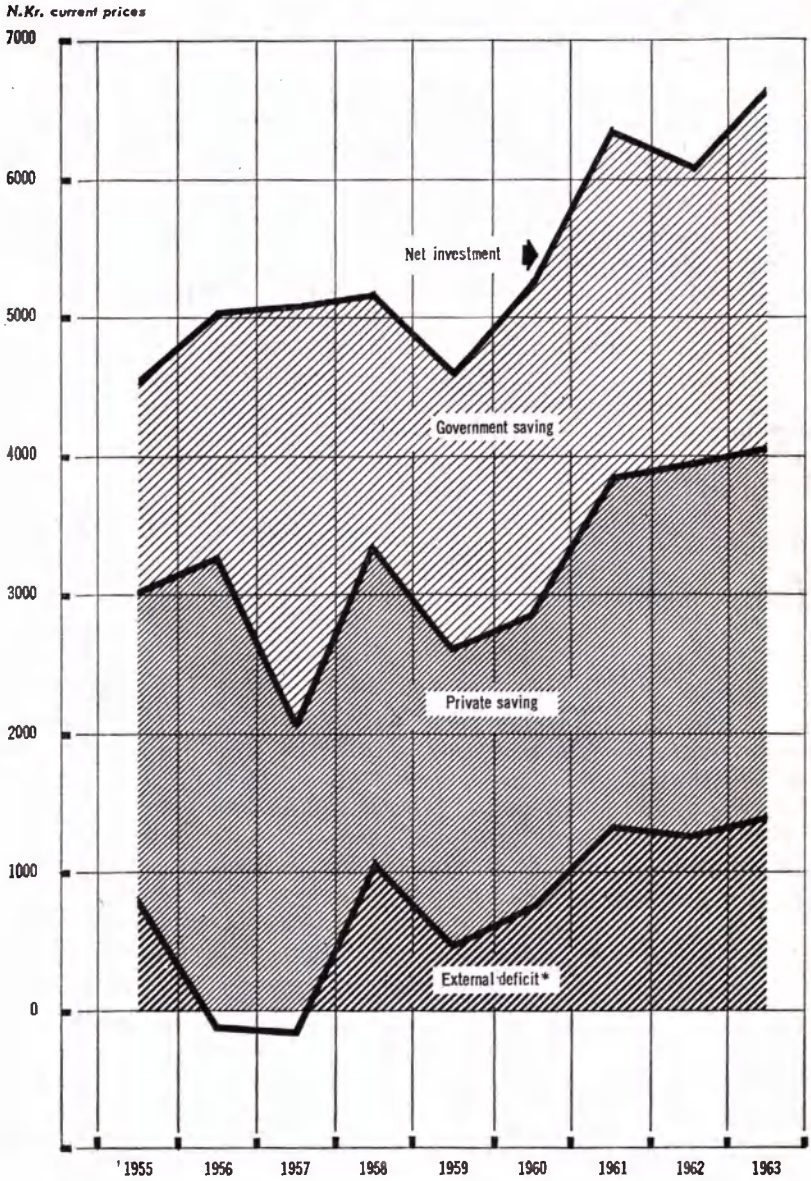
Norway, an industrialised country with a high level of per capita income, should finance investment by her own savings. But, given the special structure of the economy, particularly the large shipping sector and the capital-intensive nature of its industrial expansion, this would clearly be unrealistic. The expansion and structural change of the merchant fleet requires large amounts of capital, and it would seem reasonable to take advantage of the existing possibilities of financing this to a large extent by foreign capital. And if domestic savings, although relatively high, are unlikely to be sufficient to achieve a further rapid development of the country's natural resources, it would seem appropriate to maintain some borrowing abroad. The resulting increase in the foreign debt should not be a matter of concern if the corresponding investment projects are sufficiently profitable to service the debt incurred without placing an additional burden upon the rest of the economy. But it is important that the capital imports should be kept at a level which does not generate inflationary pressure in the domestic economy; while a capital inflow clearly enlarges the basis for an expansion of demand without endangering the foreign balance, it also serves to strengthen the pressure on domestic resources, notably the labour market, rendering more difficult the stabilisation of costs and prices. And it is clearly important that the size of the capital imports aimed at should not be such as to entail major difficulties in borrowing it on reasonable terms.

Financing Problems

24. The main problem for economic policy concerns the borrowing needs which are not covered by net shipping credits. Such needs have recently averaged about $100 million a year. This would not seem to be a large amount in relation to the domestic economy; it represents about 1.5 per cent of G.N.P., 4.5 per cent of current foreign exchange earnings, and about 20 per cent of the foreign exchange reserves. Nor would it seem to be excessive in relation to Norway's borrowing capacity abroad. In recent years the capital inflow, excluding shipping credits, has exceeded this amount.

25. But the capital inflow of the last few years has to a great extent consisted of short-term banking funds. There are no statistics available showing a breakdown of the total capital inflow with regard to short- and long-term funds, but in 1961 and 1962 the commercial banks' borrowing abroad, which very largely consists of short-term capital, amounted to more than $100 million, about half the total capital inflow (excluding shipping credits). Although it is likely that, normally, an important part of these short-term loans can be renewed, it

Diagram 2. INVESTMENT, SAVINGS AND THE BALANCE OF PAYMENTS



* Current account.

Source: Norwegian submission to the O.E.C.D.

would seem desirable from the point of view of the liquidity position to seek long-term financing to a greater extent than in recent years. This has been acknowledged by the authorities and a much more restrictive policy has been pursued during the last two years with respect to short-term borrowing by the banks.

26. The possibilities for obtaining a greater amount of long-term financing than in the past are difficult to assess. The borrowing needs of the Norwegian economy are clearly negligible in relation to the international flows of long-term capital. Part of the inflow required can no doubt be covered by direct foreign investment; although existing statistics on capital imports are incomplete, available data suggest that there has been a fairly steady inflow of this type of capital in the past, mainly connected with the development of energy-intensive industries. And in the longer run it would also seem reasonable to assume that it will be possible to raise growing amounts of fixed interest rate capital abroad. But in the years immediately ahead the prospects may be more uncertain, given existing trends and restrictions both in the United States and in European capital markets. With these uncertainties, it would seem unwise to base economic policy on an increase in the long-term capital inflow; it would probably be prudent to aim at some decline in the structural need for foreign capital. A decline in borrowing needs in the near future would in any case seem to be appropriate in view of the strong upswing in foreign demand for Norwegian exports. This has obvious implications for short-term policy, both demand management and incomes policy.

II. CURRENT TRENDS

Output and Demand

27. The real gross national product rose by 5 per cent from 1962 to 1963, compared with 3.5 per cent in the previous year. Industrial output rose at about the same rate, but with some acceleration in the course of the year. Employment in manufacturing began to rise in the latter part of 1963, following an earlier decline.

28. Exports of goods and services constituted the main dynamic element in 1963, rising by 11.5 per cent in real terms from the preceding year, with an acceleration during the year; in the last three quarters merchandise exports rose at an annual rate of 20 per cent. Gross fixed asset formation showed an increase of 6.5 per cent, with a stronger upturn in investment in ships. Private consumption rose faster than in 1962, influenced by a larger increase in real incomes. Public current expenditure

TABLE 4. NATIONAL OUTPUT AND EXPENDITURE IN 1962 AND 1963. BUDGET FIGURES FOR 1964

	KR. MILLION			VOLUME CHANGES IN PER CENT	
	1962	1963	1964[1] ESTIMATES	1962-1963	1963-1964 ESTIMATES
Private consumption	22,755	24,242	25,180	4.2	4
Civil public consumption	3,755	4,159	4,340	5.8	4-5
Defence	1,322	1,466	1,570	10.3	7
Gross fixed investments	15,192	16,516	16,530	6.5	0
Building and constr.	7,161	7,644	7,765	4.9	1-2
Mach. and equip., etc.	4,726	5,045	4,890	3.8	3
Ships and boats	3,305	3,827	3,875	12.8	1-2
Stocks	64	— 364	100	—	—
Exports	15,087	16,395	17,720	11.4	8
Commodity exports	6,691	7,265	7,740	10.5	6-7
Gross freight earnings	6,430	6,925	7,600	9.3	9-10
Total demand	58,175	62,414	65,440	6.3	5
— Imports	16,087	17,525	18,340	9.7	4-5
Commodity imports	10,218	10,855	11,440	5.9	5-6
Import of ships	1,718	2,249	2,150	39.1	4-5
Gross national product	42,088	44,889	47,100	5.0	5

1. 1963 prices.
Source: Revised National Budget 1964.

also increased somewhat more rapidly than in 1962. Inventories were reduced, notably in the export industries.

29. The Norwegian authorities expect the expansion to continue at about the same rate in 1964, with a 5 per cent increase in the real gross national product on a year-to-year basis and industrial output expanding somewhat faster. The rise in exports is expected to slow down somewhat, since the sharp rise in 1963 was, to some extent, due to inventory movements in certain important export markets, notably the United Kingdom. Gross fixed investment, in total, is not expected to rise. Building and construction activity and investment in ships should continue their increase, although more slowly than in 1963, but investment in machinery and equipment is expected to decline somewhat. Total fixed asset formation in industry is expected to fall. But this estimate, although based on a survey of investment intentions, is uncertain. With strong expansion of the economy both in 1963 and 1964, an upturn in industrial investment cannot be excluded. Investment in inventories is likely to increase in 1964. The rise in public consumption may slow down somewhat, while private consumption is expected to expand at about the same rate as in 1963.

30. The labour market is likely to become more strained in 1964, with a shortage of labour, notably in the summer months. With the number of unemployed very low, employment is only expected to rise in line with the growth of the labour force.

Prices and Incomes

31. The consumer price index was relatively stable in most of 1963, influenced by some slowing down in the rise in wages, an increase in subsidies, and a good harvest. A temporary rise in subsidies was a condition for the relatively moderate income settlements which provided for an average increase in wage rates of 2.5 per cent and similar increases in farmers' and fishermen's incomes. But the consumer price index turned up again towards the end of the year, and by March was 4 per cent higher than in October. This increase was due to some reduction of subsidies, considerable increases in prices of certain imported goods (notably coffee and sugar) and some increase of profit margins in certain industries.

32. The income agreements expire in the present year. With a view to co-ordinating settlements of the various types of incomes concerned (wages and salaries, farmers' and fishermen's incomes) the authorities have had a number of meetings with the parties involved, continuing the informal contact established prior to last year's income negotiations. The negotiations between the trade unions and the employers' associations were conducted both at the central level (for a general wage increase) and the industry level (to take care of problems in individual industries). The wage negotiations between the trade unions and the employers' associations broke down in April. To prevent strikes, the Government referred the dispute to the official arbitration court whose decision is legally binding. The court's decision, of 12th May, has been calculated to increase wages in the industries concerned by 3.3 per cent in 1964 and 1.6 per cent in 1965. The decision is expected to become normative also for other disputes to be settled.

The Balance of Payments

33. The current account deficit rose in 1963, mainly because of the strong increase in imports of ships and some deterioration in the terms of trade; in real terms exports rose faster than imports. The capital inflow was more than sufficient to cover the current deficit; the rise in imports of ships was accompanied by a strong increase in shipping credits, and other foreign borrowing, both public and private, increased. The foreign exchange reserves rose by $50 million to almost $500 million at the end of the year, representing four months' merchandise imports (c.i.f.).

TABLE 5. THE BALANCE OF PAYMENTS[1]

$ million.

	1962	1963	BUDGET 1964
Imports of commodities (c.i.f.)	1,431	1,520	1,625
Imports of ships	241	315	280
Total imports	1,672	1,835	1,905
Exports of commodities (f.o.b.)	937	1,017	1,099
Exports of ships	47	68	63
Net freight earnings	476	522	546
Other services, net	72	79	95
Total exports	1,532	1,686	1,803
Balance of goods and services	— 140	— 149	— 102
Balance of interest and transfers	— 35	— 47	— 52
Current balance	— 175	— 196	— 154
Net lending by exports of ships	— 3	4	7
Redemption of public loans incl. E.P.U. loans	37	34	35
Redemption of other loans	9	22	11
Total current balance and capital expenses	218	256	207
Net borrowing by imports of ships	72	154	84
Public borrowing	42	84	56
Other borrowing	23	53	42
Other known net capital inflow	32	7	
Change in foreign exchange reserves (increase —, decrease +)	+ 35	— 50	25
Net errors and omissions	14	8	
Total capital income	218	256	207

1. See note on Table 1.

Source: Revised National Budget, 1964.

34. The Revised National Budget expected the trade deficit to rise slightly in 1964. During the first five months of the year commodity exports increased by 19 per cent while commodity imports increased by 10 per cent, resulting in a decrease in the trade deficit of about $17 million; in spite of this movement it is not felt likely that the deficit for the whole year will differ much from the one envisaged in the Revised National Budget. With freight earnings and other services (net) expected to increase somewhat, and with a decline in imports of ships, the current deficit should fall. The decline in imports of ships is likely to be accompanied by a reduction in the volume of shipping credits. In spite of the expected improvement of the current balance, other borrowing needs may rise.

III. ECONOMIC POLICY

The Government Budget

35. The surplus on current and investment account (financial savings) fell somewhat in 1963. Expenditure rose fast (12 per cent) and more than receipts. There was a particularly strong increase in transfer payments, partly because of the higher subsidies, but purchases of goods and services also expanded significantly (7 per cent). With some decline in net lending, notably debt redemption, the cash deficit rose less than the fall in financial savings.

Table 6. CENTRAL GOVERNMENT BUDGET

Kr. million.

	1962 ACCOUNTS	1963 ACCOUNTS	BUDGET 1964[1]
A. Total revenues	7,609	8,317	9,042
B. Purchase of goods and services, transfers	7,228	8,078	8,890
1. Operational expenditures	2,786	3,072	3,607
2. New buildings, construction, etc.[2]	1,470	1,502	1,614
3. Transfers	2,972	3,504	3,669
C. Surplus on current and investment account (financial savings) (A — B)	381	239	152
D. Loan transactions	1,436	1,371	1,541
1. Loans to State banks	738	728	774
2. Debt redemption	642	589	611
3. Other loans, share subscriptions, etc.	71	70	172
4. Redemption payments received	— 15	— 16	— 16
E. Cash deficit	1,055	1,132	1,389
of which covered by borrowing	866	1,190	—

1. The approved budget plus approved and proposed supplementary appropriation, up to 1st March.
2. Defence building and construction included.

Source: Revised National Budget, 1964.

36. The budget for 1964 envisages a further decline in financial savings, with the rise in expenditure, although somewhat smaller than in 1963, remaining faster than the increase in receipts. Last year's tendency for transfers to rise faster than purchases of goods and services is likely to be reversed in 1964. With an increase in net lending, partly to the State banks, following the decline last year, the cash deficit will rise more than the decline in financial savings.

Credit Policy

37. At the end of each year the Joint Consultative Council—consisting of representatives of the authorities, the banks and the insurance companies—defines the credit policy to be followed, regulating the credit expansion as far as possible in accordance with the major objectives of economic policy. In 1963, the credit expansion slowed down (see Table 7), in line with the policy defined in the credit agreement; both bank credit and the credit institutions' purchases of bonds developed roughly as prescribed (see Table 8). In addition to the domestic credit expansion, the private sector raised about Kr. 1,400 million (net) abroad, of which Kr. 1,100 million was accounted for by net borrowing on ships.

Table 7. NET INCREASES IN LOANS BY BANKS, LIFE INSURANCE COMPANIES, ETC., AND VIA THE BOND MARKET

Kr. million.

	1961	1962	1963
Commercial banks :			
Norwegian kroner	492	441	409
Foreign currencies	388	127	6
Savings banks	369	454	481
Life insurance companies	324	316	327
State banks	597	624	669
Finance institutions	179	230	123
Bond market[1]	191	248	317
Total	2,540	2,440	2,332

1. Net borrowing from other than Government and finance institutions.
Source: Revised National Budget, 1964.

38. Given the tight labour market and the desire to reduce the external deficit, and with some relaxation of fiscal restraints, the credit agreement for 1964 aims at keeping the credit expansion at or below the 1963 rate; the credit institutions are expected to purchase a greater volume of government bonds than in 1963 to counteract the expansion of liquidity flowing from the budget.

Stabilisation Problems

39. Two considerations would seem to be of particular importance for stabilisation in 1964:

a) to avoid an excessive increase in aggregate demand;

b) to achieve a decline in the current balance of payments deficit.

TABLE 8. OBLIGATIONS OF THE CREDIT AGREEMENT AND ACTUAL DEVELOPMENT

Kr. million.

	OBLIGATIONS UNDER CREDIT AGREEMENT 1963	ACTUAL FIGURES	OBLIGATIONS UNDER CREDIT AGREEMENT 1964
Commercial banks:			
Increase in loans in Norwegian kroner	Max. 511	409	400
Increase in loans in foreign currencies	Max. 175	6	100
Increase in total bond holdings	Min. 50	98	—
of which:			
Government bonds	Min. 0	14	0
Government and Government guaranteed	Min. 0	63	0
Other	Min 50	35	...[3]
Savings banks:			
Increase in loans	Max. 403	481	300-350
Increase in total bond holdings	...[1]	49	
of which:			
Government bonds	Min. 0	— 22	0
Government and Government guaranteed	Min. 72	57	...[4]
Other	...[1]	— 8	...[5]
Life insurance companies[2]:			
Increase in total bond holdings	Min. 175	185	225[6]
of which:			
Government and Government guaranteed	Min. 117	123	113[6]
Subscription to new Government loans	Min. 133	146	260[6]

1. No fixed quantitative target.
2. Obligations calculated on the basis of growth in total resources of 525 million kroner. Actual growth was greater.
3. No amount has been fixed, but the increase should be bigger than in 1963.
4. Will be increased by 30 per cent of the increase of deposits excl. interest. (Estimated at 100-120 million kroner.)
5. Will be increased by 10 per cent of the increase in deposits excl. interest.
6. Based on an increase of 550 million kroner in the insurance companies' resources.

Source: Revised National Budget, 1964.

40. There is clearly a danger that demand will rise rather more than desirable in 1964. The revival of exports has been followed by a strengthening of home demand. Private consumption should not rise faster than envisaged in the National Budget, but investment demand may well become stronger than expected earlier. There is as yet little evidence that the strong rise in economic activity has affected industrial investment; but gross fixed asset formation in this sector is already at a very high level, and a further increase would not seem desirable. Given the shortage of labour and the strong upturn in private demand, a rather more restrictive policy may prove necessary. It may be difficult, and probably also undesirable, to restrict the credit

TABLE 9. CENTRAL GOVERNMENT BUDGET 1959-1964

Kr. million.

	SURPLUS ON CURRENT AND INVESTMENT ACCOUNT (FINANCIAL SAVINGS)	CASH DEFICIT
1959/60	702	778
1960	485	928
1961	541	1,013
1962	381	1,055
1963	239	1,132
1964 estimates[1]	152	1,389

1. Including approved and proposed supplementary appropriations up to 1st March.
Source: Revised National Budget 1964.

expansion further than has already been agreed. If new stabilisation measures prove desirable, it would seem appropriate to tighten the budget somewhat.

41. The relaxation of the budget between 1963 and 1964 was not very considerable, but a tightening would have been desirable. There are grounds for doubting whether, given the present balance of the economy, any relaxation will prove to have been appropriate. Moreover, the decline in financial savings in 1964 is part of a longer-term trend (see Table 9). Between 1959-60 and 1964, government financial savings are likely to have declined by Kr. 550 million—more than 1 per cent of G.N.P., and about 10 per cent of total savings (public and private) in 1963. It is clear that the increase in the current balance of payments deficit in recent years is strongly related to the weakening of the budget. While some increase in private savings can be expected in a period of strong expansion, it is likely that a lasting improvement of the external account requires the restoration of a higher level of government financial savings.

IV. CONCLUSIONS

42. The persistent deficit on the current account of the balance of payments in the post-war period closely reflects general economic policy, and particularly the high level of domestic investment. The strong expansion of the merchant fleet, financed mainly by foreign shipping credits, has been an important factor; the rest of the deficit has been financed by a mixture of public and private borrowing abroad.

43. Domestic needs point to a continued high level of investment, influenced notably by the structural change towards bigger ships and the capital intensive nature of the industrial

expansion. The existing foreign debt, and the amounts required for its servicing, would not seem to be excessive and should therefore not, in themselves, constitute an obstacle to the maintenance of a policy of high domestic investment based to some extent on capital imports. The greater part of the foreign debt is for shipping, and to a large extent the foreign exchange needed to cover redemption and interest payments is already secured by long-term freight contracts when the debt is incurred.

44. But while a continued policy of importing foreign capital would seem reasonable, it would probably be prudent to aim at some decline in the need for it, given the existing uncertainties with regard to the possibilities of raising long-term capital abroad on a continuing basis. In the current phase of the business cycle, with strong foreign demand for Norwegian exports, it would in any case be desirable to reduce the external deficit.

45. The development of fiscal policies would not seem conducive to this aim. The strengthening of foreign demand has been accompanied by a strong increase in economic activity, with growing pressure on existing resources. The credit expansion, governed by agreements between the authorities and the credit institutions, has been kept within reasonable limits. But the budget has become rather more expansionary, confirming the trend towards lower government financial savings. A rather more restrictive budgetary policy may prove necessary in the course of the year.

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STATISTICAL ANNEX

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TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE

1958 *prices.*

	N.KR. MILLION					PERCENTAGE DISTRIBUTION					PERCENTAGE CHANGE			
	1951	1955	1961	1962	1963	1951	1955	1961	1962	1963	1951-1955[1]	1955-1961[1]	1961-1962	1962-1963
1. Private consumption	13,814	15,853	19,611	20,187	20,998	60	59	59	59	58	4.1	3.6	2.9	4.0
a) Durables	881	1,324	2,202	2,342	..	4	5	7	7	..	10.8	8.9	6.4	..
b) Other	12,933	14,529	17,409	17,845	..	56	54	52	52	..	3.0	3.1	2.5	..
2. Public consumption	2,970	3,611	4,602	4,950	5,361	13	14	14	14	15	5.0	4.1	7.6	8.3
a) Defence	718	978	1,005	1,105	1,223	3	4	3	3	3	8.1	0.4	10.0	10.7
b) Civil	2,252	2,633	3,597	3,845	4,138	10	10	11	11	12	4.0	5.4	6.9	7.6
3. Gross domestic fixed asset formation	6,491	8,526	9,973	10,626	11,368	28	32	30	31	32	7.7	2.9	6.5	7.0
a) Residential construction	1,143	1,424	1,409	1,453	1,481	5	5	4	4	4	5.6	—0.1	3.1	1.9
b) Other construction	2,139	2,594	3,122	3,406	3,586	9	10	10	10	10	5.2	3.1	9.1	5.3
c) Transport equipment	2,182	2,825	3,010	3,093	3,522	9	11	9	9	10	6.7	1.1	2.8	13.9
d) Other equipment	1,027	1,683	2,432	2,674	2,779	5	6	7	8	8	13.1	6.1	10.0	3.9
4. Change in stocks	919	90	536	165	— 209	4	0	2	0	..	..	..	..	..
5. Exports of goods and services	8,221	10,109	15,224	16,059	17,909	35	38	46	47	50	5.3	7.1	5.5	11.5
6. Imports of goods and services	9,231	11,450	16,565	17,664	19,400	40	43	50	51	54	5.5	6.4	6.6	9.8
7. Gross National Product at market prices	23,184	26,739	33,381	34,323	36,027	100	100	100	100	100	3.6	3.8	2.8	5.0
8. Gross National Product at factor cost	20,873	24,060	29,991	30,834	32,375	100	100	100	100	100	3.6	3.8	2.8	5.0
a) Agriculture, forestry and fishing	3,019	3,005	3,057	2,864	2,724	15	12	10	9	8	—0.1	0.2	—6.3	—4.9
b) Manufacturing, mining and public utilities	6,141	7,120	9,229	9,633	9,956	29	30	31	31	31	3.8	4.4	4.4	3.4
c) Construction	1,710	1,978	1,916	1,994	2,035	8	8	6	7	6	3.7	—0.4	4.1	2.1
d) Other	10,003	11,957	15,789	16,343	17,660	48	50	53	53	55	4.6	5.0	3.5	8.1

1. Annual average.

Source: Norway's submission to the O.E.C.D.

Table II. GROSS NATIONAL PRODUCT AND EXPENDITURE

Current prices.

	N.KR. MILLION					PERCENTAGE DISTRIBUTION					PERCENTAGE CHANGE			
	1951	1955	1961	1962	1963	1951	1955	1961	1962	1963	1951-1955[1]	1955-1961[1]	1961-1962	1962-1963
1. Private consumption	10,880	14,356	20,561	22,032	23,362	58	60	58	58	58	7.8	6.1	7.2	6.0
a) Durables	794	1,286	2,339	2,492	..	4	5	6	6	..	13.5	10.9	6.5	..
b) Other	10,086	13,070	18,222	19,540	..	54	55	52	52	..	6.7	5.7	7.2	..
2. Public consumption	2,064	3,055	5,014	5,816	6,462	11	13	14	15	16	10.3	9.0	16.0	11.1
a) Defence	544	866	1,104	1,284	1,426	3	4	3	3	4	13.3	4.1	16.3	11.1
b) Civil	1,520	2,189	3,910	4,532	5,036	8	9	11	12	12	10.2	10.2	15.9	11.1
3. Gross domestic fixed asset formation	4,563	7,365	10,541	11,196	12,340	24	31	30	30	31	13.4	6.1	6.2	10.2
a) Residential construction	857	1,280	1,545	1,653	1,720	4	5	4	4	4	10.5	3.2	7.0	4.1
b) Other construction	1,441	2,147	3,357	3,878	4,127	8	9	10	10	10	10.4	7.8	15.5	6.4
c) Transport equipment	1,326	2,383	3,084	2,826	3,479	7	10	9	8	9	15.8	4.4	—8.4	23.1
d) Other equipment	939	1,555	2,555	2,839	3,014	5	7	7	8	8	14.1	9.0	11.1	6.2
4. Change in stocks	907	81	552	64	— 364	5	0	2	0	..	..	..	..	..
5. Exports of goods and services	8,850	9,953	14,390	15,038	16,347	47	41	41	40	41	3.0	6.4	4.5	8.7
6. Imports of goods and services	8,580	10,815	15,817	16,375	17,890	46	45	45	43	44	5.9	6.5	3.5	9.3
7. Gross National Product at market prices	18,684	23,995	35,241	37,771	40,257	100	100	100	100	100	7.0	6.5	7.2	6.6
8. Gross National Product at factor cost	17,048	21,770	31,569	33,752	36,081	100	100	100	100	100	6.3	6.4	6.9	6.9
a) Agriculture, forestry and fishing	2,462	2,952	3,331	3,258	3,196	14	14	11	10	9	4.6	2.0	—2.2	—1.9
b) Manufacturing, mining and public utilities	5,299	6,789	9,735	10,499	11,353	31	31	31	31	31	6.9	6.1	7.8	8.1
c) Construction	1,154	1,720	2,299	2,589	2,775	7	8	7	8	8	10.4	5.0	12.6	7.2
d) Other	8,133	10,309	16,204	17,406	18,757	48	47	51	51	52	6.1	8.2	7.4	7.8

1. Annual average.

Source: Norway's submission to the O.E.C.D.

TABLE III. NATIONAL PRODUCT AND EXPENDITURE
1961-1963

	PERCENTAGE CHANGE FROM PREVIOUS YEAR						USE OF GROSS NATIONAL PRODUCT IN 1963	
	VOLUME			PRICES			N.KR. MILLION	PER CENT
	1961	1962	1963	1961	1962	1963		
1. Private consumption	6.0	2.9	4.0	8.5	7.2	6.0	23,362	58
a) Durables	22.4	6.4	..	27.1	6.5	..	..	..
b) Other	4.3	2.5	..	6.5	7.2	..	..	..
2. Public consumption	6.4	7.6	8.3	9.3	16.0	11.1	6,462	16
a) Defence	4.9	10.0	10.7	7.8	16.3	11.1	1,426	4
b) Civil	6.9	6.9	7.6	9.7	15.9	11.1	5,036	12
3. Gross fixed capital formation	11.3	6.5	7.0	13.4	6.2	10.2	12,340	31
a) Residential construction	9.6	3.1	1.9	13.2	7.0	4.1	1,720	4
b) Other construction	3.6	9.1	5.3	7.5	15.5	6.4	4,127	10
c) Transport equipment	21.2	2.8	13.9	18.4	—8.4	23.1	3,479	9
d) Other equipment	11.7	10.0	3.9	15.9	11.1	6.2	3,014	8
4. Change in stocks	..	..	..	..	..	..	..	..
5. Exports of goods and services	7.2	5.5	11.5	5.2	4.6	8.7	16,347	41
6. Imports of goods and services	10.0	6.6	9.8	8.5	3.5	9.3	17,890	44
7. Gross National Product at market prices	6.4	2.8	5.0	9.0	7.2	6.6	40,257	100

Source: Norway's submission to the O.E.C.D.

TABLE IV. COMPOSITION OF GROSS FIXED ASSET FORMATION

Percentage distribution (current prices).

	1950	1955	1960	1961	1962	1963
Agriculture, forestry and fishing	9.7	9.5	9.1	7.5	7.3	6.5
Mining and quarrying	1.2	0.9	1.3	0.8	0.8	0.8
Manufacturing	18.5	15.0	15.3	17.0	18.4	17.1
Transportation and communication	30.8	30.2	32.3	33.2	30.1	33.6
Dwellings	17.1	17.3	14.7	14.7	14.6	13.9
Other	22.7	27.1	27.3	26.8	28.8	28.1
Total investment	100.0	100.0	100.0	100.0	100.0	100.0
Total investment in per cent of G.N.P.	27.4	29.8	28.8	29.9	29.6	30.7

Source: Norwegian submission to the O.E.C.D.

Table V. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	1961				1962				1963				1964
	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.
1. Industrial Production:													
a) Total, seasonally adjusted (1958 = 100)	116	121	121	123	121	124	124	127	128	130	133	136	
b) Export industries, unadjusted (Corresponding quarter 1958 = 100)	120	125	132	120	118	129	133	126	124	137	141	133	136
c) Home industries, unadjusted (Corresponding quarter 1958 = 100)	122	128	128	129	127	133	135	134	132	136	139	140	134
i) Capital goods unadjusted (Corresponding quarter 1958 = 100)	123	123	121	129	131	126	128	134	136	133	134	141	139
ii) Consumer goods unadjusted (corresponding quarter 1958 = 100)	120	132	136	129	123	139	141	134	127	139	144	139	128
d) Iron and steel works, unadjusted (Corresponding quarter 1958 = 100)	131	134	139	133	137	136	137	136	148	141	139	139	
e) Engineering, unadjusted (Corresponding quarter 1958 = 100)	130	130	132	139	140	137	142	146	147	141	153	154	
f) Wood-processing industry, unadjusted (Corresponding quarter 1958 = 100)	122	133	127	122	121	121	121	118	124	131	135	134	
g) Chemical industry, unadjusted (Corresponding quarter 1958 = 100)	134	158	148	143	141	168	173	158	145	179	181	164	
h) Textile industry, unadjusted (Corresponding quarter 1958 = 100)	126	137	128	123	128	134	123	118	132	141	134	128	140
i) Clothing and shoe industry, unadjusted (Corresponding quarter 1958 = 100)	113	129	123	120	121	121	125	122	118	116	127	125	
2. Dwelling Units Started (Thousands)	5.3	8.0	8.4	7.2	4.7	8.0	9.2	7.7	4.4	7.5	7.2	7.0	
3. Manpower:													
a) Employed wage-earners (Thousands)	1,045	1,053	1,069	1,067	1,062	1,065	1,082	1,074	1,060	1,079	1,091	1,082	1,076
b) Unemployed, seasonally adjusted (Thousands)	12.8	11.8	12.9	13.6	12.7	16.0	15.3	17.1	18.4	15.9	17.6	17.3	15.7
c) Jobs vacant, seasonally adjusted (Thousands)	23.2	24.3	23.7	22.6	22.7	22.8	22.9	22.6	22.6	23.8	25.2	21.4	21.5
d) Registered unemployed[1] (Per cent)	2.3	0.8	0.4	1.5	2.1	1.1	0.6	1.9	3.0	1.0	0.7	1.9	2.4
4. Value of orders in metal sector[2] (1958 = 100):													
a) New orders	159	158	130	215	167	160	142	184	167	187	182	237	
b) Total order stock, end of period	156	163	170	199	210	210	210	201	201	208	229	239	
5. Stocks in manufacturing and wholesale industries (1958 = 100):													
a) Industry's own products	104	111	118	115	120	131	134	130	137	140	142	131	
b) Raw materials	92	105	112	106	96	104	112	108	100	99	105	102	
c) Wholesale trade	113	109	116	117	111	110	110	122	121	123	121	122	
6. Turnover in retail trade (Corresponding quarter 1958 = 100)	123	124	126	122	131	134	135	134	138	143	143	141	150

1. Registered wholly unemployed as per cent of total employees.
2. Excluding shipyards.

Source: O.E.C.D. Statistical Bulletins, Statistisk Maanedshefte.

TABLE VI. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

N.Kr. million, current prices.

	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
1. Current revenue	4,184	4,827	4,812	5,066	5,441	6,255	7,431	7,512	8,115	8,513	9,445	10,608	11,456
Direct taxes	1,425	1,667	1,788	1,806	1,932	2,210	2,927	2,884	3,127	3,183	3,533	4,206	4,624
Indirect taxes	2,499	2,902	2,746	2,915	3,120	3,550	3,928	3,961	4,238	4,498	4,964	5,372	5,739
Other	260	258	278	345	389	495	576	667	750	832	948	1,030	1,093
2. Current expenditure	3,090	3,687	4,047	4,297	4,412	4,988	5,718	5,792	6,641	7,037	7,699	8,733	9,680
Purchase of goods and services	1,157	1,495	1,725	1,834	1,718	1,902	2,049	2,097	2,281	2,359	2,519	2,910	3,192
of which:													
Defence	544	787	955	1,022	860	908	980	962	1,026	1,019	1,100	1,280	1,422
Civil	613	708	770	812	858	994	1,069	1,135	1,255	1,340	1,419	1,630	1,770
Subsidies	922	989	923	897	962	1,097	1,364	1,187	1,195	1,351	1,467	1,499	1,744
Interest	147	163	155	174	219	270	282	290	320	333	361	375	396
Current transfers	864	1.040	1,244	1,392	1,513	1,719	2,023	2,218	2,845	2,994	3,352	3,949	4,348
3. Net current savings (1 — 2)	1,094	1,140	765	769	1,029	1,267	1,713	1,720	1,474	1,476	1,746	1,875	1,776
4. Depreciation and other operating provisions	25	28	28	32	32	37	43	43	49	58	62	64	67
5. Gross savings (3 + 4)	1,119	1,168	793	801	1,061	1,304	1,756	1,763	1,523	1,534	1,808	1,939	1,843
6. Gross fixed asset formation	104	135	178	195	198	233	258	330	366	403	411	482	549
7. Surplus on current and fixed investment account (5 — 6)	1,015	1,033	615	606	863	1,071	1,498	1,433	1,157	1,131	1,397	1,457	1,294

Source: Norwegian submission to the O.E.C.D.

1. Including State funds and Social Security funds.

TABLE VII. CHANGES IN THE LIQUID ASSETS HELD BY THE BANKS AND THE GENERAL PUBLIC

N.Kr. million.

SUPPLIED (+) WITHDRAWN (—)	1962	1963				TOTAL 1963
		1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	
A. The Government:						
1. Cash surplus or deficit on the current budget, Government enterprises and plants, various special accounts, etc.	— 287	— 181	— 94	174	— 34	— 135
2. Redemption of internal loans and purchase of bonds	344	53	125	67	99	344
3. Government loans to the State banks	663	64	164	80	344	652
4. Current account credits obtained	— 171	— 22	— 8	— 35	56	— 9
5. Internal loans raised by the Government	— 444	— 425	— 92	— 58	— 69	— 644
Total	105	— 511	95	228	396	208
B. Norges Bank:						
1. Net purchases of foreign exchange from banks and the general public	79	— 5	85	— 32	103	151
2. Net increase in blocked deposits	—	— 56	— 3	— 2	—	— 61
3. Net increase of Norwegian securities excluding Treasury Bills	— 3	4	9	10	5	28
4. Advances and discounts	7	47	9	— 32	— 24	—
Total	83	— 10	100	— 56	84	118
Sum Government + Norges Bank	188	— 521	195	172	480	326
Of which by:						
1. Changes in the note circulation	245	— 249	182	48	248	229
2. Changes in deposit accounts of the banks with Norges Bank	— 91	— 278	42	71	240	75
3. Changes in Treasury Bills held by the banks and the general public	22	— 29	—	19	— 16	— 26
4. Other changes	12	35	— 29	34	8	48

Source: Norges Bank 1963.

Table VIII. BALANCE OF PAYMENTS, 1950-1963

$ million.

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
Exports of commodities, f.o.b.	398	586	557	517	579	634	740	769	728	789	846	882	937	1,017
Imports of commodities, c.i.f.	572	767	802	800	857	902	1,006	1,075	995	1,036	1,261	1,330	1,431	1,520
Trade balance, excluding ships	— 174	— 181	— 245	— 283	— 278	— 268	— 266	— 306	— 267	— 248	— 415	— 448	— 494	— 503
Net ship imports	102	63	54	101	148	173	160	159	301	263	165	236	194	247
Trade balance, including ships	— 276	— 245	— 299	— 384	— 426	— 441	— 425	— 464	— 568	— 511	— 580	— 684	— 688	— 750
Net freight earnings	166	296	307	248	245	309	433	483	405	426	445	463	476	522
Other current transactions	144	15	4	18	23	18	8	4	11	16	28	37	37	32
Current balance	34	67	11	— 118	— 158	— 114	15	22	— 152	— 69	— 106	— 184	— 175	— 196
Redemption of debt	27	40	28	22	35	22	44	45	43	50	42	42	46	56
Balance before borrowing	+ 8	+ 26	— 17	— 139	— 193	— 136	— 29	— 23	— 194	— 119	— 149	— 226	— 221	— 257
Capital inflow	17	16	47	134	163	183	93	67	240	171	194	260	186	307
of which:														
Public borrowing	1	32	21	84	72	76	1	13	61	10	52	40	42	84
Borrowing of ships, net	20	— 16	— 14	29	54	76	45	24	99	120	11	165	72	155
Other known borrowing	21	— 10	18	21	30	11	41	18	54	34	118	45	59	60
Errors and omissions	— 24	10	23	1	7	19	6	12	26	7	13	10	13	8
Increase in foreign exchange holdings	25	42	30	— 5	— 30	47	64	44	46	52	45	34	— 35	50

Source: Statistisk Maanedshefte.

Table IX. SHIPPING INCOME AND EXPENDITURE ABROAD

N.Kr. million.

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
Net freight earnings[1]	1,256	2,192	2,166	1,742	1,698	2,129	2,983	3,311	2,718	2,835	2,949	3,069	3,139	3,431
Net borrowing abroad	136	— 156	— 81	195	380	527	282	105	822	875	74	1,097	540	1,069
Net income and borrowing abroad	1,392	2,036	2,085	1,937	2,078	2,656	3,265	3,416	3,540	3,710	3,023	4,166	3,679	4,500
Expenditure on imports of ships[2]	725	453	385	728	1,055	1,270	1,149	1,167	2,155	1,907	1,219	1,772	1,450	1,842
Surplus on shipping operations abroad	667	1,583	1,700	1,209	1,023	1,386	2,116	2,249	1,385	1,803	1,804	2,394	2,229	2,658

1. Interest on mortgage loans abroad deducted.
2. Less exports of ships.

Source: Norwegian Ministry of Commerce.

Table X. WAGES AND PRICES

1958 = 100.

	1961				1962				1963				1964
	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.
1. Hourly earnings in industry	115	123	122	126	127	140	131	134	134	147	137	141	...
2. Cost of living	103	104	105	107	108	109	112	112	114	114	114	114	...
a) Food	101	102	105	107	107	111	114	113	115	114	112	111	...
3. Wholesale Prices	100	101	102	103	103	103	104	104	104	104	105	105	108
a) Producer goods	100	101	102	103	103	102	102	102	101	101	102	103	104
b) Consumer goods	98	99	99	101	101	102	104	104	104	104	104	105	111
c) Food products	99	97	99	102	102	101	103	103	104	103	103	107	113
4. Building costs (Dwellings in Oslo)	104	106	109	110	110	111	112	112	112	113	114	114	...

Source: O.E.C.D. Statistical Bulletins. Statistisk Maanedshefte.

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